

and punch in the figures! (Make sure you enter negative values for payments.)

	A	B	C	D	E	F
1	NET PRESENT VALUE FOR A 4 YEAR INVESTMENT					
2	NPV	Year 1	Year 2	Year 3	Year 4	RATE
3	Rs.38,038.39	Rs. 12,000.00	Rs. 12,000.00	Rs. 12,000.00	Rs. 12,000.00	10%

NPV Calculations

NPV(rate,value1,value2,...,value13)

NPV (Net Present Value) is calculated on the basis of the rate and a series of cash flows represented by the arguments value1 to value13. These arguments denote a series of payments and income—negative values for payments and positives for income—which are equal and made at the end of each payment period. In calculating NPV, the argument value1 should exclude your initial payment, that is, value 1 starts from the second payment.

Note that Excel will only take numerical entries in the international format, so 1 lakh will always be represented as one hundred thousand (100,000), 1 crore as ten million (10,000,000), and so on.

	A	B	C	D
1	Future Value for a 30 year investment			
2	Future Value	Rate	NPER	Payment Yearly
3	Rs.4,934,820.68	10%	30.00	Rs. (30,000.00)

Future Value on a 30-year investment

FV(rate,nper,pmt,[pv],[type])

The FV shows you the Future Value of an investment; the arguments are the same as in PV, the only difference being that you will have to specify the PV value in this case. For example, if you are 30 and plan to retire by 60, you can calculate the Future Value if you make an investment of Rs 30,000 a year.

PMT(rate,nper,pv,[fv],[type])

When you know the rate, the number of payments to be made, and